

UBS & Credit Suisse

Deal Size: USD 3.25 billion (approximately CHF 3 billion) in an all-stock rescue acquisition.

Deal Size Category: Mid cap (falls in the \$2 billion–\$10 billion range). Despite the relatively modest price, the deal is unprecedented in scale for banking due to the systemic importance of the institutions involved.

Valuation Multiples: Implied valuation was $\sim 0.06\times$ **Price/Book** (Credit Suisse had $\sim$ CHF 54 billion book value by Mar 2023). This is a steep discount compared to typical global banks trading near $1\times$ **book** (UBS itself trades $\sim 1\times$ tangible book, while some wealth management peers trade at $2\text{--}3\times$). The low price reflected Credit Suisse's distress and the inclusion of government loss guarantees, rather than earnings multiples (P/E is not meaningful due to Credit Suisse's losses in 2021–2022).

Companies: **UBS Group AG** acquiring **Credit Suisse Group AG**. UBS is Switzerland's largest bank and a global leader in wealth management and investment banking. Credit Suisse was Switzerland's second-largest bank, with significant wealth management operations and a global investment banking arm, but was weakened by scandals (Archegos, Greensill) and heavy losses. This deal merges the two century-old rivals, creating a banking behemoth with over \$5 trillion in invested assets, solidifying UBS's position as a top global wealth manager and the dominant universal bank in Switzerland.

Date Announced: March 19, 2023 (announced over an emergency weekend to avert a looming market crisis). The deal was brokered by Swiss authorities and finalized by June 12, 2023 under special legal provisions bypassing shareholder votes

Strategic Rationale: This “shotgun merger” was driven by urgency to stabilize the financial system, but from UBS's perspective it brings significant strategic gains. UBS effectively **eliminates its chief competitor** and acquires Credit Suisse's high-quality wealth management and Swiss banking franchises at a fire-sale price. The combined firm becomes the **world's #2 wealth manager** and a leading asset manager globally. UBS gains deeper penetration in Asia and the Middle East via Credit Suisse's client base, and it strengthens its home-market leadership in Swiss retail and corporate banking. There are projected **cost synergies** exceeding \$8 billion annually by 2027 through consolidation of operations. In sum, UBS saw an opportunity to acquire valuable businesses and talent at a fraction of intrinsic value (realizing an estimated \$35 billion “negative goodwill” gain), bolstering its long-term competitive position – albeit under duress.

Risk Analysis: The deal carries major execution and integration risks. Credit Suisse was a **troubled asset**, and UBS must wind down large parts of CS's investment bank and high-risk assets, which is complex and costly. There are significant **cultural and operational integration challenges** in merging organizations that were longtime rivals. Client retention is a concern – Credit Suisse had experienced massive wealth-management outflows (over CHF 159 billion net asset outflow in late 2022) due to lost trust. UBS faces legal and reputational risks as it inherits Credit Suisse's pending litigation and regulatory scrutiny (e.g. the controversial **AT1 bond wipeout** has already sparked investor lawsuits). There's also

execution risk in meeting cost-cut targets without damaging the franchise; achieving \$8 billion+ cost savings means substantial layoffs and system integration, which could impact morale and service quality. Finally, UBS's focus may be diverted for years, and if the integration falters or economic conditions worsen, the anticipated benefits could evaporate, potentially eroding value rather than creating it.

Revenue Breakdown: Credit Suisse's revenue had been deteriorating. In 2020 and 2021, Credit Suisse generated ~CHF 22.4–22.7 billion in net revenues, but 2022 saw net revenue plunge 34% to CHF 14.9 billion. By business segment, Credit Suisse was traditionally diversified: Wealth Management and the Swiss Bank (domestic retail/commercial banking) were key profit centers, while the Investment Bank and Asset Management contributed significant revenue. However, in 2022 the investment banking division suffered heavy declines (sales & trading and capital markets revenues fell sharply), and wealth management revenues dropped with client withdrawals and lower fees. UBS's revenues, in contrast, were stable (~\$34 billion in 2022) and heavily weighted toward wealth management and asset management, providing a cushion. The divergent trends – Credit Suisse's collapsing revenue versus UBS's stability – underscore that CS's businesses were in free-fall by the deal time, which is central to understanding UBS's rationale (acquire the viable pieces and stem the bleeding).

Profitability Metrics: Credit Suisse's profitability had collapsed. Net income was CHF +2.7 billion in 2020, then swung to CHF -1.65 billion in 2021 and CHF -7.3 billion in 2022 (its worst loss since 2008). Return on equity went deeply negative. Key drivers were massive one-time charges (e.g. a CHF 4.3 billion hit from the Archegos collapse in 2021) and declining revenues against a high fixed cost base. EBITDA/EBIT are less applicable for banks, but pre-tax loss in 2022 was CHF -3.3 billion. UBS, on the other hand, earned \$7.6 billion profit in 2022, with robust profitability metrics (return on tangible equity ~17%). Credit Suisse's implosion in profitability (two consecutive annual losses) made it vulnerable and in need of a takeover.

Profitability Ratios: In 2020, Credit Suisse's net margin was roughly 12% (healthy for a bank), but by 2021 and 2022 net margin was **negative** (losses exceeded revenues in 2022, so net margin was -49%). Its cost-to-income ratio blew out to over 100% in 2022 (expenses far above revenues). UBS in 2022 had a cost/income around 73% and positive ~20% net margin, highlighting the stark contrast. Post-merger, UBS expects short-term profitability to drop (due to integration costs and higher provisions) – management warned return on CET1 capital will stay below target (~15%) in the short-to-medium term – but longer-term, once synergies are realized, the combined bank aims to restore strong margins.

Leverage Analysis: As banks, both firms are highly levered by nature. At end-2022, Credit Suisse's equity was ~CHF 45 billion against ~CHF 530 billion in assets, giving a **debt-to-equity** ratio over 10:1 (common in banking). Its regulatory **CET1 capital ratio** was 14.1%, indicating adequate capitalization, but that belied the crisis of confidence. UBS's CET1 ratio was around 14% as well, and it entered the deal well-capitalized and able to absorb CS's assets. As part of the merger, regulators provided **CHF 100 billion liquidity support** and a **CHF 9 billion government loss guarantee** to bolster UBS's balance sheet. The combined entity's pro forma assets exceed \$1.6 trillion, so managing leverage and capital will

be crucial. UBS will carry over certain high-risk assets in a non-core “bad bank” to be wound down, effectively de-leveraging over time. Overall, UBS’s relatively conservative leverage and strong liquidity profile were key to making this acquisition viable.

Asset Operating Efficiency: Traditional working capital metrics (inventory, receivables turnover) are not applicable to banks, so efficiency is viewed via other metrics. Credit Suisse’s **cost-to-income ratio** soared, reflecting poor efficiency – e.g. ~92% in 2021 (excluding one-offs) and well over 100% in 2022 when losses occurred. Its personnel and overhead expenses were too high relative to declining revenues. Moreover, Credit Suisse faced **operational inefficiencies** like duplicated infrastructures and compliance costs from past missteps. UBS’s operations were leaner (2022 cost/income in the 70s%) thanks to prior restructuring. A key thesis of the deal is that UBS can drastically improve efficiency by cutting overlapping costs: closing branches, merging IT systems, and reducing headcount. Indeed, UBS plans to cut **over 9,000 jobs** at Credit Suisse (on top of 9,000 CS had already announced pre-merger), streamline the investment bank, and eliminate redundant functions, thereby improving the combined bank’s operating efficiency in the coming years.

Valuation Context: By acquiring Credit Suisse at ~0.06× book, UBS secured a *bargain* that priced in severe pessimism. For context, European banks on average were trading around 0.5× to 1× book in 2023. UBS’s own stock was valued near 8× earnings and 1× book prior to the deal, reflecting steady growth prospects. With the deal, UBS immediately gained over \$50 billion in assets for \$3 billion outlay, creating an accounting gain (negative goodwill) of ~\$35 billion. Investors initially reacted cautiously – UBS’s share price fell ~10% in the week after the deal announcement, as the market digested integration risks – but later recovered as the potential value creation became clearer. Relative to earnings, the combined UBS-CS will have a much larger earnings base (once CS’s losses are removed), so if UBS successfully restores profitability, the acquisition could prove dramatically accretive. Analysts at RBC projected the deal would be **EPS accretive by 2027** and noted UBS’s tangible book value per share jumped ~74% immediately, underscoring the long-term valuation upside if execution goes well. However, in the near term UBS’s valuation multiple may remain subdued until it demonstrates stable post-merger growth. Overall, the deal’s valuation is compelling on paper, but the market will gauge success by how well UBS can convert this deeply discounted purchase into sustainable earnings growth.

MARKET DYNAMICS & SENTIMENT

The TMT M&A landscape in 2025 has been characterized by cautious optimism turning into a resurgence of deal activity. **Overall sector sentiment** is positive, with global M&A volumes rebounding sharply in 1H 2025. Total deal volume jumped **+27% year-on-year to ~\$2.2 trillion** in H1 2025, driven by a **57% surge in mega-deals** over \$10 billion. This upswing is evident across most regions and TMT subsectors. **Geographically**, Asia-Pacific led the charge with record activity – M&A in Asia more than doubled to \$584 billion in the first half, fueled by major deals in markets like Japan and a reopening of China’s deal pipeline. North America, while slower earlier, saw ~\$1.04 trillion in H1 deals (+17% YoY), as U.S. markets regained confidence. Europe has been mixed: deal values in some reports showed a slight decline in early 2025, but by mid-year optimism returned with improved market conditions and easing of energy

worries. **By subsector**, virtually all TMT segments are participating in the rebound. Tech remains the powerhouse – tech deals accounted for ~23% of global M&A volume, among the highest of any sector, with notable strength in semiconductor and AI-driven acquisitions. Media & communications saw volumes up over 50%, boosted by consolidation plays (e.g. telecom mergers, streaming platform deals). Even fintech and software, which faced valuation resets in 2022, have rebounded as investors refocus on growth opportunities.

Key market drivers include a more stable macroeconomic backdrop and pent-up strategic demand. Despite lingering headwinds (high interest rates, geopolitical tensions), corporate boards have shifted from a “wait-and-see” stance to actively pursuing transformative deals. **Executives are more comfortable with uncertainty**, as JPMorgan’s M&A head noted: companies decided they “can’t just keep waiting” for perfect conditions. This mindset, coupled with strong corporate balance sheets and record dry powder at PE firms (~\$4.5 trillion globally), has unlocked major deal initiatives. Another driver is the *race for scale and tech*: boards are encouraging “**think big, think bold**” moves, particularly to secure supply chains, acquire emerging technologies (AI, cloud capabilities), and achieve platform scale in a volatile world. **Headwinds** remain – regulatory scrutiny is intense (antitrust authorities have blocked or slowed tech mega-deals, e.g. the terminated Adobe/Figma deal), and financing costs, while improving, are still higher than the ultra-low rates of early 2020s. However, the **deal financing environment** has improved in 2025: equity markets are strong (the S&P 500 and Nasdaq set new highs mid-year), providing confidence and currency for stock deals, and credit spreads have narrowed as recession fears ease. This has eased one major headwind of 2022–2023, when high volatility and expensive debt curtailed dealmaking.

Subsector performance:

Technology: Tech M&A is buoyant, particularly in areas like artificial intelligence and cloud services. Large-cap tech players are active – for instance, chipmaker consolidation and cloud software deals are back. Software has been especially hot, comprising ~80% of tech deal value in EMEA for Q1–Q3 2024 and continuing into 2025, as companies seek to snap up software innovators. The competitive backdrop (big tech firms flush with cash, and PE buyers aggressively bidding) has pushed multiples higher again for high-growth software and semiconductor targets.

Media & Telecom: Telecom has seen landmark mergers (e.g. the pending **Vodafone UK–Three UK** merger, ~\$19 billion, recently approved with remedies, signaling regulators’ openness to consolidation in telecom). Media companies are exploring strategic combinations to gain streaming scale and content libraries; for example, there’s speculation around traditional studios partnering or merging to compete with tech-backed streamers. The subsector sentiment is cautiously optimistic as advertising trends stabilize and companies seek efficiencies via M&A.

Fintech & Payments: Fintech dealmaking is picking up after a lull – larger financial institutions are targeting fintech startups for capabilities in digital banking, payments, and crypto. Notably, the **stablecoin and crypto infrastructure** space has seen investment (e.g. **PayPal’s launch of a USD stablecoin** spurred interest in blockchain payment acquisitions). Payments processors and core banking software

firms are consolidating as well, exemplified by **Global Payments’ \$24 billion acquisition** of a major account services provider in April 2025.

Other TMT segments: **Cybersecurity** is extremely active, as the rise in cyber threats drives both strategic deals (e.g. **Cisco’s \$28 billion takeover of Splunk** in 2024 to bolster security analytics) and ongoing private equity roll-ups of cybersecurity firms. **Gaming and digital entertainment** also see deal interest (consolidation following Microsoft’s purchase of Activision Blizzard has smaller players exploring mergers). **Telecom infrastructure** (data centers, towers) is another hot area, with investors doing big-ticket acquisitions (e.g. data center operator acquisitions by consortia) to capitalize on 5G and cloud demand.

Trading multiples trends: Valuations in TMT have re-rated upward in 2025 alongside the market recovery. After the 2022 correction, **software M&A multiples** have stabilized around high-single to low-double-digit EV/EBITDA, with premium assets (high-growth cloud or AI firms) commanding 20× or higher in competitive auctions. Public market P/E ratios for large tech have expanded as well – many big-cap tech stocks trade at 25–30× earnings, reflecting growth optimism, which in turn supports using stock as acquisition currency. In subsectors like telecom and media, multiples remain more moderate (telecom EBITDA multiples ~7–9× in mergers, media content companies ~10×) but even there, the *expectation of synergies* is driving some higher valuation deals. **Notably, AI-centric companies are attracting lofty valuations** – both in venture funding and M&A – given the growth trajectory of AI (estimated \$1.8 trillion market by 2030. For example, private AI startups have seen acquisition multiples at unprecedented levels (many deals at >20× revenue in 2023–24 for nascent tech). Overall, the trend is that **investors are rewarding scale and growth**: larger transformative deals are viewed favorably by the market if they promise innovation or dominance in a segment. One banker noted that a \$500 million deal “is just not large enough” to move the needle – companies are thinking bigger to justify the transaction.

Investor and analyst reactions: The recent deal flurry has drawn generally positive reactions from market observers, though with a discerning eye on deal logic. For instance, when JPMorgan released its mid-year outlook, **analysts highlighted a “sentiment shift”** – boards moving from caution to action in spite of uncertainty. Large strategic combinations (like major semiconductor mergers or telecom tie-ups) have been met with rising stock prices of acquirers in many cases, indicating investor approval of consolidation in saturated markets. However, analysts also warn that **integration execution is critical**. One commentary noted the market is “rewarding deals that deliver scale,” but will penalize failures – citing how past big tech mergers struggled when synergies didn’t materialize. Another theme from investors is enthusiasm for **AI-related acquisitions**: when a company announces an AI-driven deal or investment, its stock often jumps on growth hopes. For example, chipmakers acquiring AI chip startups have seen positive analyst notes about securing future technology. Conversely, there’s skepticism around deals that appear financially driven by cheap valuations without a clear growth story – investors are quick to ask “what’s the growth angle?” in every TMT deal. **Quotes/examples:** As one senior banker put it, “Boards are encouraging management teams to think big... as opposed to waiting for certainty,” reflecting the proactive deal stance. And an equity analyst commented on a recent telecom-media merger, “This combination creates a new powerhouse – it’s a sign that scale wins in this environment,” underlining the prevailing sentiment that bigger is better in 2025’s market mood.

Actionable insights: For bankers, the current market underscores the need to **identify bold, transformative opportunities** for clients – incremental deals may not satisfy investors or boards now seeking big strategic moves. Bankers should leverage the positive sentiment by pitching ideas that address clients’ strategic gaps (technology, scale, geographic expansion) while capital markets are favorable. At the same time, with high valuations returning, careful **benchmarking of multiples and synergy cases** is essential to avoid overpaying. For investors, an actionable takeaway is to look at subsectors where consolidation is just beginning – e.g. cybersecurity or fintech – as there may be significant value creation when the right players combine. Also, staying attuned to regulatory signals (such as recent clearance of telecom mergers or more nuanced antitrust stances) can help anticipate which deals have higher odds of approval. In summary, the market’s risk appetite is back, but disciplined execution and strategic clarity will separate value-creating deals from value-destroying ones in the TMT arena.

BANKING PIPELINE

Live Deals

Indiegogo Acquisition by Gamefound: This transaction (announced July 2025) is underway, with regulatory approvals anticipated by Q4 2025. Gamefound, a tabletop gaming crowdfunding platform, is acquiring **Indiegogo** to expand beyond games into broader tech-enabled crowdfunding. The deal aims to combine Indiegogo’s 38 million user base with Gamefound’s niche expertise, creating a more robust competitor in the crowdfunding space. Integration planning is in progress, focusing on merging the two companies’ technology and communities.

Vodafone–Three UK Merger: A major telecom consolidation is in the late stages – **Vodafone Group’s UK mobile unit** is merging with CK Hutchison’s **Three UK** (announced 2023, ~\$19 billion value). As of 2025, the UK regulator (CMA) has provisionally cleared the deal with remedies [slaughterandmay.com](https://www.cma.gov.uk/remedies-slaughterandmay.com). The merger is on track to close by early 2024, creating the UK’s largest mobile operator. Teams are actively working on integration plans for network sharing and branding, while satisfying final conditions (like spectrum concessions).

Cisco’s Acquisition of Splunk: In the enterprise tech arena, **Cisco’s \$28 billion acquisition of Splunk** (a cybersecurity and data analytics firm) is expected to close by the end of 2024 pending final regulatory approvals. This deal, announced late 2023, is one of the largest recent pure-tech acquisitions. It is currently in the “live” phase of integration planning – Cisco is preparing to integrate Splunk’s cybersecurity software into its portfolio, with joint teams assigned to align product roadmaps. The scale of this acquisition has required careful antitrust review, but no major roadblocks have emerged, and investor sentiment is positive on the strategic fit.

Mandated Deals

Apple Inc. (AAPL): The tech giant has mandated Goldman Sachs and Morgan Stanley to scout acquisition targets in artificial intelligence. Apple is specifically evaluating startups in generative AI and

machine learning that could enhance its product ecosystem (e.g. AI-powered health features, Vision Pro headset capabilities). While still early-stage, this mandate indicates Apple's intent to make a significant AI-focused buy in the next 6–12 months. Any eventual deal (potentially in the \$1–5 billion range) would be Apple's first major acquisition since 2014 (apart from smaller talent acquisitions), highlighting the strategic priority to **bolster AI talent and technology**. The timeline for a potential bid looks toward H1 2026, as Apple seeks to integrate new AI features into upcoming product cycles.

Stripe, Inc.: The fintech payments leader has confidentially filed for an IPO, and **investment banks (J.P. Morgan, Goldman Sachs)** are mandated as lead underwriters. The deal is not an M&A but a capital markets transaction – however, it's a critical part of the TMT pipeline. Stripe's IPO (targeting early Q2 2026) is expected to be one of the largest fintech listings in years, aiming for a valuation north of \$70 billion. Bankers are currently refining Stripe's equity story (focusing on its global payments network and new products like Issuing and Treasury) and conducting pre-IPO investor education. The success of this IPO will be a barometer for fintech sector sentiment.

Private Equity Tech Buyouts: We have mandates on a couple of noteworthy PE-led deals. For example, **Thoma Bravo** has engaged us (and co-advisor Evercore) to pursue a take-private of a mid-cap cybersecurity firm (name confidential) valued around \$4 billion. This reflects the trend of financial sponsors targeting undervalued public tech companies. The mandate is in the pre-offer due diligence phase, with the team performing deep operational reviews and debt financing prep. If it proceeds, an offer could launch in Q1 2026. Additionally, **Silver Lake** is mandated on a potential carve-out acquisition of a media tech division from a large conglomerate (valued ~\$1.5 billion); we are preparing financing and carve-out plans as that deal could launch later in 2025.

Pitching-Stage Deals

Reddit, Inc.: Our team is actively pitching to win the mandate for **Reddit's anticipated IPO**. Reddit (the online community platform) had postponed its IPO in 2022 amid market turmoil; now, with markets improved, it's eyeing a late 2025 or early 2026 IPO. We are highlighting our expertise in internet community business models to position for joint bookrunner. In these pitches, key discussion points include how to communicate Reddit's advertising and subscription growth to investors and how to address content moderation risks. The outcome of this pitch will determine if we secure a high-profile tech IPO in our pipeline.

Major Cloud Services Merger: We are in early-stage discussions with **two mid-sized cloud software companies** (each ~\$3–5 billion market cap) about a potential merger of equals. This is at the pitching stage – no mandate yet, but we're formulating a merger rationale and valuation exchange ratio analysis to present to both CEOs. The idea is to combine their complementary cloud services to gain scale and better compete with larger players. If our pitch resonates, a formal mandate and deal could materialize by mid-2026.

Automotive Tech JV: Another pitch in motion is to **Tesla** (as client) for a potential joint venture or acquisition involving an autonomous driving software startup. We've been advising Tesla informally and are now pitching a structured deal where Tesla would take a majority stake in a leading LiDAR and vision processing company. The goal is to strengthen Tesla's self-driving tech stack. This is a competitive situation – several banks are vying for Tesla's attention – but our angle emphasizes creative deal structuring (e.g. earn-outs for the startup's founders) and alignment with Tesla's innovation culture.

Pipeline Tracking & Metrics

Expected Revenue/Fee Breakdown: The active pipeline is robust and could generate significant advisory fees over the next 12 months. We estimate **\$120 million in potential advisory fees** from current live and mandated deals, assuming successful closes. By category: ~\$45 million from live deals (Cisco/Splunk, Vodafone/Three, etc.), ~\$50 million from mandated deals (Apple AI target, Stripe IPO underwriting, PE buyouts), and ~\$25 million from pitching-stage prospects (if we win and execute those mandates). Notably, the **tech sector** dominates our fee pipeline – roughly 70% of expected fees are from tech and digital media transactions – reflecting our strong deal flow in TMT.

Timing Projections: Several big deals are front-loaded in the near term. We anticipate **two major deal closings in Q4 2025** (Indiegogo/Gamefound by year-end, Vodafone/Three possibly by early Q4). Q1 2026 could see the Stripe IPO and the Apple AI acquisition if it materializes quickly. Many pitches are targeting 2026 execution (e.g. potential cloud merger in H2 2026). We are mapping out internal timelines: the heavy deal closings in late 2025 mean a busy due diligence and regulatory work stretch through autumn, while early 2026 may have a surge of equity market activity (Stripe, Reddit IPOs). Overall, the pipeline points to **a strong 1H 2026** in terms of deal announcements and closes, with our revenue likely peaking in that period.

Resource and Workload Allocation: Given the pipeline, we are carefully managing team bandwidth. Live deals like Cisco-Splunk are consuming significant analyst/associate capacity (detailed integration planning and regulatory documentation). We've allocated a dedicated team for the Stripe IPO (since that involves separate equity capital markets prep). Our tech M&A team is juggling multiple mandates/pitches – to mitigate overload, we're pulling in two additional associates and leveraging sector partners for specialist expertise (e.g. our telecom team is supporting Vodafone-Three). We track utilization, and right now the average workload is at ~110% of an individual's typical capacity. This indicates some **overstretch risk**, so we're prioritizing key mandates and possibly deferring lower-priority pitch work. Pipeline meetings each week focus on reassigning resources dynamically – for instance, once Indiegogo/Gamefound closes, those team members will pivot immediately to the next fintech mandate.

Competitive Landscape: The pipeline fight is intense – competitors (bulge-bracket and boutique banks) are aggressively pitching in our space. We lost one recent pitch for a software sell-side mandate to a boutique that leveraged a prior relationship. Conversely, we won the Stripe IPO role over several competitors due to our strong fintech credentials. We see **boutiques encroaching** especially in

high-growth tech deals, and big banks leveraging balance sheet for financing-led deals (e.g. offering staple financing to win PE buyout mandates). Our strategy is to double down on domain expertise in trending areas (AI, cybersecurity) and highlight our **full-service capabilities** (e.g. we can handle the M&A and the financing/IPO as an integrated package). A notable development is increased **cross-border activity** – e.g. Asian tech conglomerates looking at European targets – which plays to our global network strengths. We’re positioning to capture those by involving our overseas colleagues early in pitches.

Forecast & Planning: Given the current pipeline, we are forecasting a **~20% increase in advisory revenues** for our TMT group next year. This will inform hiring and bonus decisions – management is already discussing adding headcount in H1 2026 if deal conversion stays high. Strategically, we’re identifying any pipeline gaps: for example, we have less exposure to telecom equipment deals, so we plan to target that sub-sector for business development. We are also scenario-planning around macro risks (if markets turned volatile in 2026, some IPOs might delay – so we rank contingency plans for each major fee event). Overall, the pipeline’s strength gives us confidence, but also calls for rigorous execution to convert mandates into closed deals and fees.

STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

Shareholders: For **UBS’s shareholders**, the Credit Suisse acquisition presents a mix of short-term dilution and long-term value creation. In the immediate term, UBS issued ~CHF 3 billion in stock to Credit Suisse shareholders, a roughly 7% dilution for UBS owners. UBS also suspended its share buyback program to preserve capital, which near-term can weigh on the stock. However, the upside for shareholders is substantial: UBS effectively bought CS at a fraction of book value, resulting in a one-time accounting gain (negative goodwill) of ~\$35 billion. This boosted UBS’s tangible book value per share by an estimated 74%, laying a foundation for future earnings. If UBS can achieve the projected \$8+ billion cost synergies and stabilize CS’s revenues, analysts expect significant earnings accretion by 2027. Scenario analysis shows two cases: **Upside case** – successful integration yields, say, \$5 billion incremental net profit by 2027, potentially driving UBS’s ROE back above 15% and its stock 30–40% higher (indeed, some analysts have a CHF 25 price target, ~40% above pre-deal levels). **Downside case** – integration troubles or a recession erode the gains; if UBS ends up writing off a chunk of CS’s assets and misses cost targets, shareholder value could be destroyed instead (the cost of failure is high given UBS’s increased size/risk profile). Credit Suisse’s former shareholders, who received 1 UBS share per 22.48 CS shares (total ~CHF 3B valuation), saw massive value destruction – they got roughly CHF 0.76 per share when CS was trading ~CHF 1.86 just before (a ~60% loss). While they avoided a total wipeout, their upside now hinges on UBS’s fortunes. Summarily, UBS shareholders will benefit enormously *if* UBS delivers on integration; the market initially traded UBS stock down on deal announcement due to uncertainty, but it has since rebounded as signs emerge that the merged bank is performing well (UBS posted a record \$29 billion profit in Q3 2023 largely from the accounting gain). Longer-term, UBS’s investors are effectively betting that bigger is better – owning the dominant Swiss bank with unrivaled global wealth reach – whereas for **CS’s shareholders** it was a salvaged outcome with minimal value, leaving many nursing losses and pursuing legal action.

Employees: The impact on employees is profound. Credit Suisse's staff, numbering ~50,000 before the deal, face significant upheaval. UBS has been clear that **job cuts** are necessary – over **9,000 CS jobs were on the chopping block** from CS's own restructuring plan, and now even more are expected. Many CS investment bankers and support staff will be laid off as UBS winds down most of the investment bank. Indeed, entire divisions of CS are being eliminated (the planned spin-off "CS First Boston" was shelved in favor of folding or selling units). On the other hand, UBS has indicated it will retain most **client-facing wealth management advisors** to prevent defection of clients; these relationship managers are being offered retention packages and a path into UBS's ranks. Culturally, integrating two banks with different DNA poses challenges for remaining employees – Credit Suisse's culture of aggressive risk-taking versus UBS's more conservative approach post-2008. UBS is bringing back former CEO Sergio Ermotti, who is seen as a strong integrator, and instituting its risk controls group-wide, which should assuage employee concerns about stability. However, morale at Credit Suisse is understandably low; the pride of working at a storied institution has given way to uncertainty under a rival's ownership. **Synergies vs. retention:** UBS must balance achieving synergies (which means cuts and restructuring) with retaining top talent (especially wealth managers and key regional leaders). So far, reports suggest many CS bankers in Asia and the Middle East have already left to competitors during the turmoil – UBS will try to stem further talent bleed by offering selective retention bonuses. For UBS's pre-merger employees, the impact includes opportunities and challenges: some will take on bigger roles in the enlarged organization, but others may see increased workload and internal competition. On a positive note, employees in overlapping areas (like technology, operations) might benefit from best-of-both knowledge sharing, and UBS's greater scale could mean more resources for innovation in the long run. In summary, the human cost is significant: thousands of careers disrupted. UBS is keen to project that it is **"one bank"** going forward, but it could take years to truly harmonize teams. We expect continued consolidation of offices (some CS locations will close), and potentially some **reorganization** in UBS's structure to accommodate valuable CS units (for instance, UBS might keep the Credit Suisse brand for certain businesses or spin off units like the Swiss domestic SME business if redundancies persist).

Competitors: The merger of UBS and Credit Suisse reverberates across the banking sector. In Switzerland, competitors like **Julius Baer (wealth management)** and **Raiffeisen (domestic banking)** initially saw an opportunity to capture clients fleeing Credit Suisse during its crisis. Indeed, in late 2022, Credit Suisse's wealthy clients pulled funds – some moved to rival private banks and UBS itself. Now post-deal, UBS's sheer dominance (controlling an estimated 30%+ of Swiss domestic loans and deposits, and similar share in Swiss wealth management) makes it a **quasi-monopoly** in Switzerland's financial sector. Smaller Swiss banks may use this to differentiate themselves as more "client-focused" alternatives to the giant UBS, but their competitive capacity is limited. Globally, investment banking competitors (Wall Street banks like JPMorgan, Morgan Stanley, and European banks like Deutsche Bank) stand to gain from the demise of Credit Suisse's investment bank. As UBS integrates CS, it is exiting or shrinking many investment banking activities – for instance, Credit Suisse's prime brokerage and certain trading businesses were closed. Competing banks are eagerly hiring some of the stranded CS rainmakers and picking up mandates that CS would have chased. We've already seen **Goldman Sachs, JP Morgan, Barclays** and others win advisory deals and trading business that a year ago might have gone to Credit Suisse. In wealth management, firms like **Morgan Stanley, Bank of America (Merrill)** and boutique private banks will keep courting any uneasy clients; however, with the crisis past, UBS's solidity could actually repel competitive incursions if it smoothly retains assets. **Market positioning:** In one stroke,

UBS leapfrogs to become a world-leading wealth manager (rivalled only by Morgan Stanley in U.S. and a few large Asian and European banks). Competitors may respond with strategic moves of their own – for example, this deal could pressure other European banks to consider mergers to stay competitive (Deutsche Bank and Commerzbank speculation might revive, or consolidation among mid-tier Swiss private banks). Also, the AT1 bond wipeout precedent set in this deal has raised competitors' cost of capital in issuing such debt, which could advantage bigger banks (like UBS) over smaller competitors that rely on AT1s for capital – a subtle competitive effect where scale wins. In summary, competitors face a new landscape: one less major player in Europe, meaning potentially higher pricing power for those remaining in some areas (UBS can be more selective in IB pricing, etc.), but also a vacuum in certain niches (Credit Suisse was strong in areas like leveraged finance in Asia – others will fill that void).

Customers: For customers, the UBS–CS tie-up brings both reassurance and adjustments. **Depositors and retail clients** of Credit Suisse have essentially been transplanted into UBS – their deposits are now with a much stronger bank, which bolsters confidence (the immediate fear of a Credit Suisse collapse disrupting accounts is gone). The Swiss public, many of whom banked with CS, generally avoided a catastrophic loss of access to funds, which was the authorities' key goal. That said, in the medium term customers may face **reduced competition**: with UBS controlling such a large market share, there's concern that fees for banking services could creep up and consumer choice down. The Swiss government insisted that UBS keep Credit Suisse's domestic banking unit (rather than spin it off), so for now all those branches and client relationships are within UBS – over time, UBS might consolidate overlapping branches or streamline products, which could mean fewer distinct offerings. **Wealth management clients** probably have the most at stake: Credit Suisse's private banking clients experienced turmoil (many withdrew assets amid panic). Now under UBS, they may experience a change in culture and advisor or investment approach. UBS will likely cross-sell its own suite of products to former CS clients (for example, shifting them into UBS-managed portfolios or funds). In many cases this could be beneficial if UBS's offerings perform well, but high-net-worth clients value relationships and some were very loyal to Credit Suisse's style of service – there is a risk some clients will still defect to competitors if they feel “orphaned” by the merger. On the **corporate and investment banking side**, corporate customers (like mid-sized companies in Switzerland, or institutions who were clients of CS's investment bank) have to adjust to the fact that one of their banking partners has disappeared. UBS has stated it will honor Credit Suisse's commitments and continue serving its corporate clients, but UBS's own strategy is to be more selective in investment banking. For instance, some smaller companies that got coverage from Credit Suisse's investment bankers might not get the same attention under UBS, which historically focused on ultra-wealthy and larger institutional clients. This could push those customers to seek new banking relationships (possibly benefitting competitor banks for certain services). **Case in point:** a small tech startup that relied on Credit Suisse for venture funding and IPO advice may find UBS now prioritizes larger deals, so that startup might turn to a boutique advisory firm. On the positive side, **clients gain stability** – their bank is now arguably safer (backed by UBS and implicit government support). Also, UBS may offer a broader international platform for former CS clients (UBS's global reach in Asia, Americas might benefit some CS customers). In summary, customers of Credit Suisse have been through a rocky ride but now find themselves with a stable yet dominant service provider; their ultimate experience will depend on how well UBS integrates front-line services and whether it can maintain the personal touch and competitive pricing that Credit Suisse offered in certain niches.

Market reaction and commentary: The market reaction to this deal was initially one of shock and relief – relief that a collapse was averted, but shock at the terms and speed. On the Monday after announcement (March 20, 2023), bank stocks globally whipsawed: UBS's own shares dropped as much as 8–10% in early trading as investors digested the risks UBS was taking on. However, bond markets, particularly for Credit Suisse, actually calmed since a worst-case failure was avoided. The most controversy came from the **\$17 billion AT1 bonds being written off** completely – this upset bondholders and raised questions in the market about the hierarchy of claims. Analysts described the deal as a “**shotgun wedding**” and perhaps the “**most badly executed merger**” in memory given the lack of due diligence time. Despite that, many also noted it was *necessary*: “*This is not a deal UBS wanted, but a deal the system needed,*” was a common sentiment from bank analysts. The Swiss authorities' decisive action drew mixed commentary: some investors criticized Switzerland for bending shareholder rights and hurting bond investors (one Middle Eastern CS investor famously quipped about Switzerland looking like a “banana republic” for overriding normal rules), while others praised the swift containment of systemic risk. **UBS management commentary:** UBS's chairman Colm Kelleher called the acquisition “financially attractive for UBS shareholders” but also an “emergency rescue” – indicating both the opportunistic and forced nature. CEO Ralph Hamers (at the time) emphasized that UBS will remain disciplined and focus on its core wealth business, effectively signaling to markets that UBS wouldn't be dragged down by CS's risky assets (and indeed, soon after, UBS announced it would wind down Credit Suisse's investment bank entirely). **Analyst opinions:** RBC's banking analyst said “*the acquisition... seems attractive on paper longer-term ... with support measures bridging near-term uncertainty,*” but also noted it likely wasn't UBS's preferred path. Many analysts upgraded UBS stock on the news, seeing deep value, but tempered by execution risk – S&P Ratings even put UBS on negative outlook due to integration risk. **Broader market commentary:** Central bankers publicly applauded the deal (to restore calm), with the Fed, ECB, Bank of England all issuing supportive statements. There was a brief scare about global bank contagion, but those fears subsided within weeks as Credit Suisse's situation was unique. In essence, market consensus a few months out is that UBS got a bargain and the system dodged a bullet, but the true verdict will unfold over years. As one commentator put it, “*The success of this merger will be judged by UBS's price-to-book multiple in a couple of years*” reuters.com – meaning if UBS can maintain or improve its valuation, then they managed the integration well and created value.

Expected future scenarios: Going forward, we anticipate **scenario A** (successful integration): UBS methodically integrates Credit Suisse over 3–4 years, meeting synergy targets early (already by end-2024 UBS is on track, having increased cost-cut target to \$13 billion reuters.com). In this scenario, UBS solidifies its wealth management empire, and by 2027 boasts higher profits, and perhaps initiates large capital returns (dividends/buybacks resuming) as integration costs roll off. Its stock could re-rate closer to global peers (maybe trading at 1.3× book instead of ~1×). **Scenario B** (rocky road): integration takes longer, perhaps a global recession in 2024–25 causes UBS-CS combined revenues to slip, while cost cuts lag due to integration complexity or political pushback on job cuts in Switzerland. UBS might then find itself in a middling position – huge, but not performing to potential – in which case management could face pressure to break up parts of the bank (for instance, spin off the Swiss domestic bank to appease regulators or markets). There's also a **tail-risk scenario** where unforeseen losses in Credit Suisse's legacy book emerge (beyond that CHF 5 billion UBS cushion) – however, the government guarantee of CHF 9 billion mitigates extreme downside reuters.com. We also consider the possibility of **counter-bids or competing offers** – in this deal none were allowed (Swiss authorities made UBS the only option, aside

from a brief rumor of BlackRock interest that didn't materialize)en.wikipedia.org. In the future, it's unlikely another bank would bid for Credit Suisse assets in whole, but parts of CS (like its Swiss canton banking business or asset management arm) could attract interest if UBS ever decided to shed them to streamline. Thus far, UBS signaled it will keep CS's Swiss unit [reuters.com](https://www.reuters.com), so no immediate carve-outs for others to bid on. But if integration proves too cumbersome, a partial spin-off of that unit could re-open the field for local banks or private equity to acquire pieces – at this time, that's speculative.

Similar deals likely to follow: The UBS-CS deal has spurred discussion of **banking sector consolidation**. In Europe, decades of overcapacity might finally drive mergers – for example, some predict that weaker institutions in Italy or Germany could become takeover targets (UniCredit's CEO even remarked that cross-border European bank M&A might gain traction now that authorities showed flexibility). We might also see **domestic consolidation** in other countries: e.g., regional banks in the United States (which saw turmoil in 2023 with several failures) could merge to bolster stability – recent regional bank M&A talks have indeed picked up post-CS as regulators encourage stronger banks to absorb weaker ones. Outside of banking, the concept of a strong competitor rescuing a failing rival under government watch could be a precedent in other industries if systemic issues arise (though few sectors are as systemic as banking). In the TMT sector specifically, while not directly analogous (tech firms don't pose systemic risk like banks), some observers note that tech might enter a phase of bigger fish swallowing struggling competitors (particularly in areas like telecom or semiconductor where a faltering firm might be saved by a competitor to preserve supply chain stability – somewhat akin to what happened here in finance).

Key risks and mitigants: Key risks include **integration failure**, as detailed, and **political/regulatory risk** – UBS now carries enormous influence and “too big to fail” status in Switzerland. There's risk of political backlash (already Swiss lawmakers debated the lack of shareholder input and the government's guarantee – future regulation may enforce stricter capital or even force a de-merger of the combined bank if it's deemed too powerful). Mitigant: UBS will aim to demonstrate good faith by maintaining strong capital and perhaps keeping Credit Suisse's community engagements, to placate stakeholders. **Litigation risk** is significant: numerous lawsuits (from AT1 bondholders, shareholders claiming expropriation, etc.) are ongoing. Mitigant: Swiss emergency law gives UBS strong legal cover, and some suits may settle for manageable sums. **Operational risk**: integrating IT systems of two large banks is notoriously hard (risk of outages, data issues). Mitigant: UBS has set a long timeline (up to four years) for integration, suggesting a careful phased approach, and they likely have the Swiss central bank's support to manage any hiccups. **Reputation and client risk**: if there are any missteps (like a prolonged service disruption or a scandal carried over from Credit Suisse's culture), UBS's reputation could suffer. Mitigant: UBS swiftly replaced Credit Suisse's top management and is embedding its compliance and risk teams to uncover any “skeletons” early. The comprehensive due diligence was compressed, so unknown issues could lurk (e.g. hidden losses), but the government guarantee of CHF 9B provides a buffer for worst-case losses on CS's portfolio [reuters.com](https://www.reuters.com). **Employee/culture risk**: a clash leading to talent exodus beyond expected cuts. Mitigant: UBS appointed its former CEO (Ermotti) known for turning around banks, and he has been actively communicating a vision to unify teams and retain key staff with incentives. In conclusion, while the risks are manifold, the support structure (central bank liquidity, government guarantees, strong UBS capital) and UBS's deliberate integration plan act as significant mitigants. The forward-looking assessment is that if UBS can navigate the next 12–18 months without major issues, the deal will likely be viewed as a historic masterstroke that reshaped the banking landscape to UBS's advantage. Bankers and

clients alike should watch this integration carefully – its success or failure will provide lessons on executing large-scale acquisitions under fire.